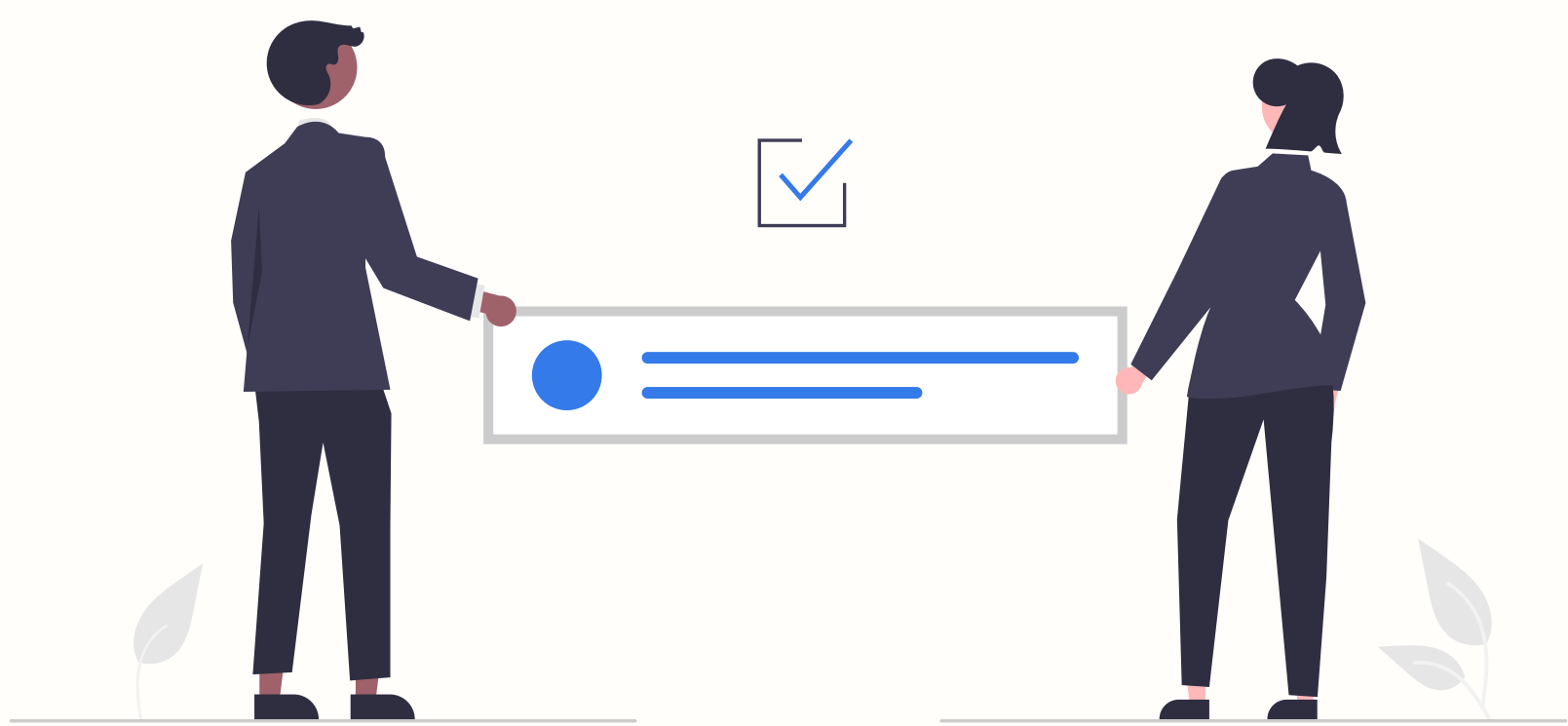


DUE DILIGENCE CHECKLIST



Introduction

Being the founder of a startup can be overwhelming. Late nights, long planning sessions, new situations arising and constantly making sure you're not missing opportunities can get exhausting. We know because just like your startup, SuLe is a startup that was founded in early 2023. It was created because we noticed a recurring problem; startup founders rarely have the time, money or knowledge needed to get their legals in order. Great legal support is being gatekept and we're here to put an end to it. We aim to simplify the legal process, demystify jargon and empower founders from all walks of life because everyone deserves to receive great legal support without the stress of navigating complex legal intricacies alone.

This checklist has been designed to assist companies navigate the overwhelming process of due diligence (DD) during early-stage investment.

DD during investment is a process where potential investors thoroughly examine a company's financial, legal, operational, and strategic aspects. It involves reviewing contracts, financial statements, intellectual property, management team, and more to ensure informed investment decisions.

Whether you're a startup seeking funding or an investor evaluating potential opportunities, this checklist offers a structured approach to conducting due diligence. Please note that references to "the Company" throughout this checklist relate to your specific entity engaging in the investment process.

We wish you the very best in your investment journey!



Trisha Wing

CEO and Founder

CORPORATE

SUBJECT MATTER	QUESTIONS	COMPLETION
Statutory registers	Please provide copies of the Company's books, including its register of members, register of debenture holders, register of interests in shares, register of directors and secretaries, and register of allotments.	☐
Dividends	Please provide details of all dividends and distributions paid, made and declared since the date to which the last audited accounts were made.	☐
Structure chart	Please provide a structure chart identifying each of your direct and indirect subsidiary undertakings and associated companies.	☐
Investment and shareholders' agreements	Please provide copies of all shareholders', subscription, investment and other agreements governing the relationship between the Company's shareholders. Please also include any side letters that relate to the Company from previous investment rounds.	☐
Cap table	Please provide the Company capitalisation table.	☐
Board minutes and director resolutions	Please provide copies of all board minutes and director resolutions.	☐
Audited accounts	Please provide copies of the Company's audited accounts for the last three years (if available).	☐
Management or internal accounts	Please provide all management or other internal accounts prepared since the Company's last accounting reference date.	☐

CONTRACTS

DOCUMENT	GUIDANCE	COMPLETION
Material contracts and trading arrangements	Please provide copies of all agreements of any kind that are material to the Company or its business.	☐
Leasing/rental agreements	Please provide copies of all contracts and documents relating to leasing, hire, rent, hire-purchase or purchase by way of credit sale or periodic payment.	☐
Unusual or long-term agreements	Please provide copies of all unusual or long-term contracts, capital commitments, licences, agency, licensing, franchise, joint venture, distributorship and factoring agreements, agreements for services, supply agreements and outsourcing agreements.	☐
Agreements with change of control provisions	Please provide copies of all agreements that would or could be subject to early termination, their terms being altered or early payment becoming due in the event of a change of control of the Company.	☐
Terms of business/service	Please provide a copy of the Company's standard terms of business and/or standard terms of service.	☐

FINANCE

DOCUMENT	GUIDANCE	COMPLETION
Financing agreements	Please provide copies of the agreements or terms of all overdrafts, loans, loan notes, debt instruments, mortgages, charges, debentures and other financial facilities or securities.	☐
Grants and governmental support	Please provide details of all grants and other financial assistance from any supranational, national, regional or local authority or government agency that the Company has applied for or received during the last six years.	☐

EMPLOYMENT

DOCUMENT	QUESTION	COMPLETION
Employees	Please provide the Company standard template employment contract and template service agreement(s) along with a schedule that relates to any contractual arrangements which differ from the standard templates. General employees can be anonymised.	☐
Employee disciplinary	Please provide details of all employees subject to disciplinary proceedings, in relation to whom a disciplinary matter is pending or is likely, and/or who have received an oral or written warning in the past three years.	☐
Employee investigations by a government body	Please provide details of all employment-related investigations or enquiries made concerning the Company by any governmental authority or body.	☐
Pensions	Please provide information and copies of relevant documents regarding all retirement, old age, severance, or death benefit plans in which the Company participates or has participated. This includes contributions to government or insurance funds, occupational retirement schemes, pension funds, or contractual commitments for such benefits, excluding mandatory statutory payments.	☐

PROPERTY

DOCUMENT	QUESTION	COMPLETION
Property owned or occupied	Please provide a schedule outlining all real properties presently owned, occupied, or used by the Company. Include whether each property is freehold or leasehold or managed under a different arrangement.	☐

INSURANCE

DOCUMENT	QUESTION	COMPLETION
Insurance policies	Please provide copies of all insurance policies taken up or taken out by or on behalf of the Company.	☐
Insurance policy claims	Please provide details of all claims made under any insurance policy in the last five years, including all outstanding claims.	☐

LITIGATION

DOCUMENT	QUESTION	COMPLETION
Legal claims and litigation	Please provide details of all litigation and other disputes (including arbitrations, mediations, alternative dispute resolution, expert determinations and tribunal actions) in which the Company or any of its employees is or may become involved.	☐

INTELLECTUAL PROPERTY

DOCUMENT	QUESTION	COMPLETION
Intellectual property particulars	Please provide full particulars of all trade marks, patents, service marks, registered designs, copyrights, know-how, unregistered designs, database rights, semiconductor topography rights and other industrial or intellectual property rights owned beneficially by or licensed to the Company; and all applications for or to register any of those things.	☐
Intellectual property licences	Please provide copies of all licences of any Intellectual Property by or to the Company.	☐
Lapsed IP rights	Please provide details of all registered Intellectual Property rights that the Company has allowed to lapse and the reasons for allowing them to lapse.	☐
Inventions/research not protected by patents	Please provide a description of all inventions/significant research and development projects of the Company not yet protected by a patent or patent application, copies of any agreements with others relating to significant research and development activities.	☐
Confidentiality agreements	Please provide copies of all confidentiality agreements with third parties and/or employees.	☐
IP Disputes	Please provide details of all challenges, infringements or disputes relating to the Company's or any third party's Intellectual Property, and copies of all documents relating to all such challenges, infringements and disputes.	☐
Transferred IP rights	Please provide copies of all agreements relating to Intellectual Property rights that have been transferred by the Company in the last 12 months.	☐

DATA PROTECTION

DOCUMENT	QUESTION	COMPLETION
Data protection registrations/notifications	Please provide copies of all registrations/notifications of or by the Company under applicable national and supranational data protection legislation (including the Data Protection Act 2018), or, if the Company’s activities are exempt from such legislation, the reason(s).	☐
Details of personal data	Please provide details of the types of personal data processed by the Company and copies of the specific consents given by data subjects to this processing. For example, “full name, last name, email address”.	☐
Sources of personal data	Please provide details of the sources of personal data processed by the Company, including copies of all forms used by the Company to collect personal data.	☐
Third party data processors	Please provide details of all personal data processed by third parties on the Company’s behalf, including copies of their technical and organisational methods for preventing unauthorised and unlawful processing and accidental loss of, and damage to, personal data.	☐
International data transfer	Please provide details of any international transfers of personal data by the Company, copies of the compliance measures and policies adopted by the Company regarding such transfers, and copies of all data transfer agreements to which the Company is party.	☐
Cookies and online tracking	Please provide details of all cookies and on-line tracking devices used by or on behalf of the Company.	☐

INFORMATION TECHNOLOGY

DOCUMENT	QUESTION	COMPLETION
Computer systems ownership rights	Please provide details of the ownership of the rights to all Computer Systems used by the Company.	☐

COMPETITION

DOCUMENT	QUESTION	COMPLETION
Competition authority communications	Please provide copies of all other communications between the Company and any competition authority in the last five years, including all submissions by the Company in response to any market investigation or merger assessment undertaken by any competition authority.	☐

OTHER

DOCUMENT	QUESTION	COMPLETION
Anti-Corruption and modern slavery	Please provide copies of the Company's anti-corruption and associated policies, including general anti-bribery and corruption policies.	☐
Services in different jurisdictions	Please provide details of all persons who perform services for and/or on behalf of the Company and the jurisdictions in which they operate for and/or on behalf of the Company.	☐

SUBSIDIARIES

DOCUMENT	QUESTION	COMPLETION
Subsidiary documentation	If the Company has any subsidiaries, equivalent documentation as set out in the DD checklist above, in respect of that entity should also be provided.	☐

EXPLANATORY NOTES

If you cannot provide a copy or answer to any of the questions stated above, be prepared to be able to answer why and supply as much detail regarding that document as you are permitted to. However, no investor would expect a company to have everything on this checklist, it is perfectly acceptable to put “N/A” where the document or information request doesn’t apply, and this is fine.

This list relates to the legal queries that may arise from your investor upon due diligence. It is targeted to early-stage investment and aims to be as comprehensive as possible, investors may ask different questions or fewer questions than included above.

This due diligence checklist provided serves as a general guideline and should not be considered comprehensive legal advice. Users are advised to consult with appropriate professionals before making decisions based on the checklist.



Top tip: you should structure your data room in accordance with the numbering on this questionnaire! Investors (and their lawyers reviewing the data room) love a well organised data room. It’s a very easy way to get on the investors’ good side.

Congratulations!

Now you've got the key questions and documents required to be due diligence ready. And if you feel like you still need a hand we're here to help. For a limited time, we're offering free investment readiness reviews, where we'll review your startup's legal standing to be investment ready and provide you with the tools and next steps you need to get ready.

Check out our website for the latest on our product release and stay up to date on our progress!

[Book a free consultation](#)[Visit our website](#)